CSIS JAPAN CHAIR

Japan Daily Brief

Tuesday, November 10, 2026

2,055 words · 8 min read

RE: BOJ December hike likely · Japan-Vietnam summit · Rapidus delays · Nuclear taboos debate · Quad defense aid

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
60,459.58	158.19	$90.71	1.25%
▼ -2.78%	▼ -0.17%	▼ -7.71%	

TOP STORIES

ECONOMY-BOJ

Summary of Opinions at the Monetary Policy Meeting on October 29 and 30, 2026

The Bank of Japan's Summary of Opinions from its October 29-30 Monetary Policy Meeting, released today, shows multiple board members called for an early rate hike as underlying inflation hits *2%*, bringing the neutral rate into view; Reuters, the FT, and Bloomberg all characterize the document as signaling a good chance of a December hike. The USD/JPY pair held in the 158 range in Tokyo as rate-hike expectations capped upside on the dollar.

BANK OF JAPAN

DEFENSE

Japan’s nuclear taboos up for debate as talks start on defense overhaul

LDP-Komeito coalition consultations on revising Japan's National Security Strategy, National Defense Strategy, and Defense Buildup Program formally opened today; the Japan Times reports that lifting a longtime ban on nuclear weapons transit and acquiring nuclear-powered submarines are key points of contention alongside the non-nuclear three principles. Asahi separately reported that the government is coordinating on the possibility of introducing nuclear-powered submarines as part of the review.

THE JAPAN TIMES

TECHNOLOGY

Japan’s Rapidus is said likely to miss mass production deadline

Japan's government-backed 2nm chipmaker Rapidus has fallen behind schedule on its high-stakes Hokkaido foundry and is said likely to miss its March 2028 mass-production target, according to Bloomberg and the Japan Times. The delay puts at risk a cornerstone of Japan's semiconductor sovereignty strategy and its alignment with US export-control cooperation on advanced chips.

THE JAPAN TIMES

ECONOMY-BOJ

SoftBank slumps to $7bn loss on US data centre writedown

SoftBank Group reported a *¥768 billion* ($4.9 billion) net loss for the April-September fiscal first half, its first quarterly loss in nearly two years, driven by a writedown on US data center plans citing 'evolving requirements'; the Washington Post separately reported the company's AI hopes are faltering. SoftBank Group also announced a plan to jointly build AI infrastructure in Malaysia with Grab.

FT

INDO-PACIFIC

Japan to give Philippines drones, radar systems in biggest security aid to date

Japan will supply the Philippines with a coastal radar system and drones under a *$27 million* Official Security Assistance deal, the largest such transfer to date; NHK and the Washington Post confirmed the arrangement, which comes alongside the Japan-US-Australia-Philippines defense ministers' joint statement published by MOD today. The transfer extends Japan's OSA program, which previously provided surveillance boats to Sri Lanka under a separate FY2026 agreement signed the same day.

NIKKEI ASIA

POLITICS-DIET

LDP reprimands Ishiba and three others for walking out on consumption tax vote

The LDP formally disciplined former Prime Minister **Shigeru Ishiba** and three other members for abstaining from the House of Representatives vote on the food-and-beverage consumption tax reduction bill, intending to tighten control ahead of Upper House deliberations due to begin Wednesday. Asahi reported separately that **Yuko Obuchi** was removed from the LDP Tax Policy Council vice-chair role over the same abstention.

THE JAPAN TIMES

STAT OF THE DAY

¥768bn

SoftBank Group net loss, April–September 2026

The loss, driven by a writedown on US data center plans, is SoftBank's first quarterly loss in nearly two years and comes as the company's AI investment thesis faces scrutiny.

SoftBank slumps to $7bn loss on US data centre writedown — Financial Times

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · TUESDAY, NOVEMBER 10, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi participated in a France-hosted online G7 AI security meeting, calling for international coordination on AI safety, and the Kantei published the Japan-Vietnam summit summary from yesterday's meeting with President To Lam.

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *Prime Minister Sanae Takaichi*

PM Takaichi calls for international AI security cooperation at France-hosted G7 ministerial session

Prime Minister **Sanae Takaichi** participated in a France-hosted online meeting on AI security, stating that AI poses new security challenges whose impact transcends borders and that international cooperation is essential. MOFA separately published an overview of the G7 Foreign Ministers' AI session in Paris.

→ The Japan Times ↗

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *Prime Minister Sanae Takaichi*

Japan-Vietnam Summit Meeting summary released by Kantei

The Kantei published the summit summary covering PM Takaichi's meeting with Vietnamese President To Lam; Kyodo reported the two sides agreed to boost cooperation on critical minerals.

→ Kantei ↗

外務省 · MINISTRY OF FOREIGN AFFAIRS (MOFA) · *Foreign Minister Toshimitsu Motegi*

Foreign Minister Motegi meets US Secretary of State Rubio in Paris; exchange on US ICC sanctions

Foreign Minister **Toshimitsu Motegi** and US Secretary of State **Marco Rubio** met in Paris and exchanged views on US sanctions on the International Criminal Court, per MOFA's readout. MOFA also published readouts of the Japan-UK and Japan-France Foreign Ministers' meetings held in Paris.

→ Mainichi ↗

PERSONNEL CHANGES

Yuko Obuchi DISMISSED
LDP Tax Policy Council Vice-Chair
The LDP removed Yuko Obuchi from her role as Tax Policy Council deputy chair following her abstention from the House of Representatives vote on the consumption tax reduction bill, per Asahi.

DIET SESSIONS / LDP

HOUSE OF COUNCILLORS (UPPER HOUSE)
Senate to begin deliberations Wednesday on consumption tax cut bill
Japan's House of Councillors is due to begin debate Wednesday on the bill reducing the consumption tax on food and beverages; Prime Minister Takaichi is expected to attend the deliberations. The bill passed the House of Representatives earlier.

DPP (DEMOCRATIC PARTY FOR THE PEOPLE)
DPP leader Tamaki says political-donation reform bill should precede Diet-seat reduction
DPP leader **Yuichiro Tamaki** stated the party would not 'set aside' reform of political donation rules, insisting the revised political-donations bill should be taken up before deliberations on reducing the number of Diet seats, per Asahi.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
JNN · Nov 2, 2026	**64.9%**	**32.5%**

ANN · Oct 19, 2026 · **22d ago**	**47.1%**	**33.3%**
Asahi · Oct 19, 2026 · **22d ago**	**50%**	**35%**
Kyodo · Oct 19, 2026 · **22d ago**	**49.1%**	**33%**
FNN · Oct 19, 2026 · **22d ago**	**62.6%**	**32.3%**
Yomiuri · Oct 19, 2026 · **22d ago**	**57%**	**30%**
NHK · Oct 14, 2026 · **27d ago**	**50.8%**	**32%**

Discourse: LDP's formal disciplining of Ishiba and three others over the consumption tax vote abstention, combined with Obuchi's removal from the Tax Policy Council, reflects PM Takaichi's effort to consolidate party control ahead of Upper House deliberations on the flagship tax cut bill.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

AUTO · MAINICHI · HONDA MOTOR

Honda reports 65.7% jump in first-half net profit, raises full-year outlook

Honda Motor reported a *65.7%* surge in net profit for the fiscal first half and raised its full-year outlook, citing strong motorcycle sales; Asahi separately reported Honda's full-year net profit forecast is now ¥500 billion.

MACRO · BLOOMBERG

Japan household outlays fall most since pandemic

Japanese household spending fell at the sharpest rate since the pandemic, per Bloomberg, underscoring the tension between BOJ rate-hike momentum and softening domestic demand — a dynamic explicitly flagged in the October meeting summary released today.

SEMICONDUCTORS · NIKKEI ASIA · MITSUI CHEMICALS, JSR

Mitsui Chemicals to acquire chip materials maker JSR for $11.6 billion

Mitsui Chemicals has agreed to buy JSR Corporation, a leading semiconductor photoresist and materials maker, for *$11.6 billion*, consolidating Japan's position in upstream chip supply chains at a moment when both Rapidus delays and US-Japan export-control alignment make materials capacity strategically sensitive.

REGIONAL PRESSURE WATCH

Normal — 33 items (25 Japanese government, 8 adversary signal)

CHINA

Global Times published an editorial mocking Japan's concern about a potential 'snub' by President Xi at APEC, stating 'Tokyo has a guilty conscience,' maintaining maximum diplomatic pressure as Japan works behind the scenes to secure even a brief Takaichi-Xi encounter on the sidelines. A separate Global Times commentary argued Japan cannot diversify its way out of the loss of Chinese tourists, signaling continued use of economic leverage as a rhetorical instrument.

NORTH KOREA

North Korea tested a new high-speed torpedo system and claimed plans to deploy it early next year, per Stars and Stripes and multiple outlets; Military Watch Magazine separately reported that North Korea's top air-defense

system, the Pyongae-6, demonstrated long-range interception capabilities with vertical launch technology and multi-channel guidance — systems directly bearing on Japan's missile-defense planning. DPRK testing pace is reported at twice the rate seen during Trump's first term.

RUSSIA

No new Russian military or territorial signal toward Japan is reported in today's Tier 1 or Tier 4 data beyond the persistent baseline; the ongoing Russia seizure of Japan Tobacco International assets and the detention of Hokkaido Shimbun journalist Yuki Imai by Russia's FSB in Sakhalin remain unresolved from prior days.

Senkaku / ECS: No new China Coast Guard or PLA activity in the Senkaku territorial or contiguous waters is reported in today's data; the persistent baseline of near-daily CCG presence carries forward.

"Worried about being 'snubbed' at APEC meeting? Tokyo has a guilty conscience."

Global Times editorial (unattributed) · Worried about being 'snubbed' at APEC meeting? Tokyo has a guilty conscience: Global Times editorial

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Bottom line: North Korea's high-speed torpedo deployment announcement and the Pyongae-6 air-defense capability demonstration are the dominant adversarial signals today, extending DPRK's accelerated testing pace; watch for any Japan MOD or MOFA protest statement and for developments on the Takaichi-Xi APEC encounter as Japan's diplomatic efforts to avoid a public snub continue.

U.S.-JAPAN RELATIONS

ALLIANCE · NHK

Japan and US agree to strengthen security cooperation following Japan-US-Australia-Philippines defense ministers' meeting

NHK reported that Japan and the United States agreed to strengthen security cooperation; MOD simultaneously published the Japan-US-Australia-Philippines Quadrilateral Defense Ministers' Joint Statement dated November 10, formalizing the security coordination framework with Manila. The meeting coincides with Japan's largest-ever OSA transfer to the Philippines.

ALLIANCE · STATE DEPARTMENT

US Under Secretary Helberg traveling to Singapore, Indonesia, and Japan

The State Department announced Under Secretary Helberg is traveling to Singapore, Indonesia, and Japan, signaling continued senior-level US diplomatic engagement across the Indo-Pacific at a moment when Japan's Three Strategic Documents revision and the Philippines security package are both live issues.

INDO-PACIFIC PARTNERS

SOUTHEAST ASIA · MOFA

Japan-Vietnam summit produces Joint Vision Statement and agreement to cooperate on critical minerals

PM Takaichi and Vietnamese President To Lam issued a Joint Vision Statement following their summit; Kyodo reported the two sides agreed to boost cooperation on critical minerals, with Japan's trading houses separately reported as backing Vietnamese tungsten miners.

KOREA-JAPAN · THE JAPAN TIMES

Japan Times commentary: Are Japan and the US losing South Korea as an ally?

A Japan Times commentary argues that Washington's trust in Seoul on intelligence matters is increasingly fragile, raising questions about the durability of the US-Japan-ROK trilateral at a moment when DPRK testing is

accelerating.

AUSTRALIA · THE DIPLOMAT

UK and Japan sign offshore wind cooperation pact

The UK and Japan signed an offshore wind partnership agreement, extending energy-transition industrial cooperation between the two allies alongside their existing GCAP defense co-development.

EXPERT ANALYSIS AND EVENTS

OP-EDS & THINK TANK COMMENTARY

LOWY INSTITUTE

Japan needs to separate protection from migration for Myanmar

> *Japan should formally separate humanitarian protection pathways from standard immigration processes for Myanmar nationals, given the ongoing political crisis and Japan's historically restrictive refugee system.*

The Lowy Institute piece argues that Japan's refugee recognition rate remains among the lowest in the developed world, and that treating Myanmar nationals as ordinary migrants rather than protection-seekers exposes Tokyo to both humanitarian and reputational costs. The author contends a distinct protection track would be both legally defensible and strategically advantageous for Japan's regional soft-power positioning.

SO WHAT Japan's Diet is simultaneously debating immigration and political-donation reform, making this a live policy window for adjustment to the protection framework.

UPCOMING

Nov 11

Japan Upper House begins consumption tax cut bill deliberations

The House of Councillors is scheduled to open debate Wednesday on the food-and-beverage consumption tax reduction bill; PM Takaichi is expected to attend. Passage would reduce the tax rate on food to 8%.

Nov 11

Japan-US-Australia-Philippines defense ministers' joint statement takes effect

MOD published the quadrilateral joint statement on November 10; follow-on implementation steps and any public rollout of the $27 million Philippines coastal radar and drone package are expected in coming days.

Nov 15

ASEAN and APEC summits — PM Takaichi due to attend in Philippines and Peru

PM Takaichi announced Monday she plans to attend the ASEAN-related summit in the Philippines and APEC next week; Japan is simultaneously working to secure a Takaichi-Xi encounter on the sidelines of APEC.

Dec 1

BOJ Monetary Policy Meeting — December rate hike decision (estimated)

The October meeting summary signals multiple board members see a near-term hike as necessary; markets and analysts cited in today's Reuters and Bloomberg coverage treat December as the most likely decision point, though the exact dates are not confirmed in today's articles.

Mar 1

Rapidus 2nm mass-production deadline at risk — March 2028 target under review

Bloomberg and the Japan Times report today that Rapidus is likely to miss its March 2028 mass-production deadline; the government-backed chipmaker has fallen behind schedule on its 2nm foundry in Hokkaido.

CSIS Japan Chair

JAPAN DAILY BRIEF

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↑ BACK TO TOP

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